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AI Is Rewriting the Rules of Growth—But Not Everyone's Winning

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In this week's video, watch here, I break down the most important insights from Coatue's *East Meets West 2025* report, which is one of the most comprehensive efforts yet to connect artificial intelligence to markets, macroeconomics, and productivity. The report has 102 pages and highlights the bullish case for AI: explosive reasoning capabilities, margin expansion, and a new wave of corporate winners. I also explore what the report misses in my opinion, especially surrounding the growing tension between labor and capital. The labor indicators and job-related sentiment continue to show signs of softening and worker anxiety. WARN notices are rising, college grad unemployment climbing, and quit rates falling—the data shows a labor market under pressure. Companies are growing revenues while keeping headcount flat, and Wall Street is rewarding those who signal further reductions. This is not just another cycle, it's a transformation that has many nuances for the government and policymakers.

I also connect this disruption to the financial system's evolution. As AI agents and machine-native activity scale, demand for stablecoins and tokenized systems is accelerating. Circle's recent IPO shows the growing enthusiasm from traditional finance investors. Bitcoin is emerging as the ultimate bottom-up response to institutional displacement, while Ethereum stands to benefit from parabolic stablecoin volumes driven by the Genius Act and corporate adoption. If Coatue is right about the AI productivity boom, then crypto will be its financial infrastructure. But in the near term, expect increasing job anxiety, consumer stress, and a growing disconnect between corporate profitability and economic well-being. This video explains why the most important chart to watch for the rest of 2025 might be the labor share of income.

Timestamps

(00:00–02:47) AI Drives Markets, but Not Broadly Shared Yet
• Coatue's *East Meets West 2025* is praised as the best AI-macro report so far.
• But I disagree with some of its optimism.
• AI is enabling broader sector disruption beyond just Big Tech.

(03:04–05:28) Bitcoin, Margin Expansion, and the Rise of Reasoning
• Bitcoin appears in Coatue's 2030 leaderboard; I believe it could top the list by 2025.
• AI's "explosion in reasoning" is enabling revenue growth without headcount expansion.
• Golden age of margin expansion is underway—less labor, higher profits.

(06:21–09:46) AI + Energy = The Next Macro Theme
• AI's token explosion is triggering massive electricity demand.
• Oil, gas, and infrastructure firms (Chevron, Exxon, CAT) are now "AI trades."
• AI demand = electricity shortage = commodity repricing.

(10:05–14:59) Semis, Supply Chains, and Industrial AI Winners
• Semiconductors, AI-native factories, and power-related industrials (e.g. Generac) are now critical.
• Supply chains remain strained, fueling shortages in analog and electrical components.

(15:19–23:55) Labor Pain Is Real—and Growing
• WARN notices, temp job declines, and college grad unemployment are all rising.
• Workers fear being replaced; confidence and quit rates are falling.
• This is a psychological recession for the bottom 50%, despite strong GDP and low unemployment.

(24:17–26:51) Schumpeter’s Warning Playing Out
• Labor share of income has been falling since the 1980s, now accelerated by AI.
• Capital is winning; companies are shrinking headcount while boosting shareholder value.
• This is creative destruction on fast-forward.

(29:25–31:04) Global Currency Realignment + Dollar Pressure
• PBOC speech warns of the end of dollar dominance.
• U.S. prioritizing a weaker dollar to fix trade deficits and support labor—fueling further instability.

(35:05–39:32) Bitcoin, Ethereum, and Stablecoins as Economic Lifeboats
• Bitcoin is the “purest AI trade” and a bottom-up rebellion against centralized capital.
• Stablecoin usage set to explode post-Genius Act; Ethereum will be the settlement layer.
• Tokenization and machine-native finance will shift the rails of the financial system.

Watch here

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